

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



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INTRODUCTION

INTRODUCTION

Today's workshop will cover one of the most important areas for any business – accurately and correctly costing your products & services.

We will look at ways to work out accurately what your product or service **really** costs you to make, grow, produce or provide, as well as some guidelines to follow when trying to determine the correct methods of costing for your product or service.

Specifically, today's workshop will cover:

- Financial Assessment – Do you know and understand what is happening financially in your organisation?
- Useful Costing Terminology – understanding the basic terms
- Determining Material Costs & Calculating Ratings (amount of materials used)
- Determining Direct Labour Costs
- Determining your Overhead Contribution – how to keep the lights on
- Costing Methods for Service-based Businesses – charge the correct rate!
- Costing Method for Agriculture & Farming Businesses – reaping what you sow
- Costing Template – Putting it all together and doing a Costing

WATCH THE COSTS AND THE PROFITS WILL TAKE CARE OF THEMSELVES

Andrew Carnegie

In our experience, costing is one of the most important components of any business.

Consider the following:

1. Without an accurate indication of how much an item costs to produce, or a service costs to provide, it is impossible to know **how much profit** you are making (if any), and thus if your business model is sustainable.
2. Knowing your costs makes **planning, forecasting and cash flow management** far easier.
3. Knowing your costs makes cost **control and cost reduction** easier, as you can identify problems at their source.
4. Knowing your costings means you can identify your most (and least) productive processes, products and services and **make adjustments** accordingly.
5. Accurate costings empower you when it comes to **negotiating with customers** – if you know how much a product or service really costs the business, you will know how much, if at all, you are able to discount in order to secure a deal.
6. In short, costing is the nucleus of any business!

